

The Bankruptcy Abuse Prevention and Consumer Protection Act of 2005 allows for several different types of bankruptcy.

Anyone considering bankruptcy action would be well advised to read up on bankruptcy¹ and then contact an attorney who specializes in this area.

Chapter 11 bankruptcy. This section of the bankruptcy code details how a corporation may file for federal bankruptcy protection and continue to operate while it works out a plan to repay the creditors. Under Chapter 11, some debts may be repaid and others may be discharged. The company may end contracts and leases and recover assets in order to increase its profitability.

This option was designed to give struggling companies that might otherwise fail a chance to become profitable and thus viable. For a great testimony on use of this bankruptcy law, I recommend the book *Parting the Waters* (Moody, 1997), which deals with the history of the Correct Craft company in Florida and its owners, Walt and Ralph Meloon.

Chapter 7 bankruptcy. A company seeking Chapter 7 bankruptcy protection must first undergo a means test to determine its ability to repay its creditors. If the company is found eligible for Chapter 7, its nonexempt assets are liquidated, and the proceeds are used to repay creditors. However, in some cases, all the company's assets may be determined to be secured.

Chapter 13 bankruptcy. This action is for individuals what the Chapter 11 bankruptcy is for a corporation. It allows an individual (or a couple) to repay certain debts under a court-approved plan during a period of up to five years. Other debts may be discharged.

Chapter 12 bankruptcy. This is a special provision for farmers and fishermen. It allows them to continue operating while repaying credits under a court-approved plan.

Is bankruptcy unscriptural? That is not a simple question to answer. God's Word clearly says that believers should be responsible for their promises and repay what they owe. Does that mean that in the meantime they should not take the legal remedy of court